

the receipts of trustees for any money securities or other personal property or effects payable, transferable or deliverable to them under any trust or power, and whether the trust be created before or after the commencement of the Act are made sufficient discharges (b).]

12. **Receipt of a trustee who is known to intend a breach of trust.** — Where the holder of the money knows that the trustee intends to commit a breach of trust, it would not be safe to pay to the trustee, whether he has by these Acts or otherwise a power of signing receipts or not. But the fact of such a knowledge must be brought home to the person paying, so as to make him *particeps criminis*, a privy to the fraud (c).

SECTION II.

OF THE SAFE CUSTODY OF CHATTELS.

1. **Trustee must take same care of the trust property as of his own.** — Lord Northington once observed, “No man can require or with reason expect that a trustee should manage another’s property with the same care and discretion that he would his own” (d); but the maxim has never failed, as often as mentioned, to elicit strong marks of disapprobation. A trustee is called upon to exert precisely the *same* care and solicitude in behalf of his *cestuis que trust* as he would do for himself; but *greater* measure than this a Court of equity does not exact (e).¹

[(b) 44 & 45 Vict. c. 41, s. 36.]

(c) See *Fernie v. Maguire*, 6 Ir. Eq. Rep. 137.

(d) *Harden v. Parsons*, 1 Eden, 148.

(e) *Morley v. Morley*, 2 Ch. Cas. 2, per Lord Nottingham; *Budge v. Gummow*, 7 L. R. Ch. App. 720, per

V. C. Bacon; *Jones v. Lewis*, 2 Ves. 241, per Lord Hardwicke; *Massey v. Banner*, 1 J. & W. 247, per Lord Eldon; *Attorney-General v. Dixie*, 13 Ves. 534, per eundem; [*Re Speight*, 22 Ch. D. 739, per Jessel, M. R.; S. C. in D. P. 9 App. Cas. 19, per Lord Blackburn.]

¹ *Custody by the trustees.* — He must use due diligence in reducing the choses in action to possession. What is a reasonable time will depend largely upon the circumstances of the case, as it would be ill advised to sell property at a great sacrifice, when more could be obtained by waiting, and the trustee does his duty if he exercises a reasonable discretion; *Hester v. Wilkinson*, 6 Humph. 215; *Wills's App.* 22 Pa. St. 330. Even though the money had been placed by the settlor, the trustee must call it in, if it is